

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_LOSS_AVERSE_004

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1. Executive Summary

Analysis of INV_LOSS_AVERSE_004's trading history reveals a dominant behavioural pattern of **Loss Averse**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-1.8%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Loss Averse
Strategy Archetype	Day Trader
Max Drawdown	-1.8%
Sharpe Ratio	4.22
Sortino Ratio	3.25
Peer Risk Percentile	8th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods of time than winning trades, with a median of 7.5 days for losers compared to 1.0 day for winners.

Evidence: The evidence for this pattern comes from specific trades, such as XOM (entry 2020-02-24 to exit 2020-05-24), GS (entry 2020-06-08 to exit 2020-09-06), TSLA (entry 2022-03-28 to exit 2022-06-26), AAPL (entry 2023-07-25 to exit 2023-10-23), and DIS (entry 2021-09-09 to exit 2021-11-15).

Consequence: As a result, the portfolio is impacted by a significant drawdown of 53% due to the risk contributed by these trades, indicating that investors are more likely to hold onto losing trades and suffer larger losses.

Herding

Pattern: The high momentum follow rate of 0.9153 indicates that most investors are following the crowd, as 91.53% of the population median is above 0.64145, suggesting that many investors are buying stocks that have been doing well recently.

Evidence: The trades that show evidence of herding behavior are: UNH (entry 2020-01-02 → exit 2020-01-15) with a 13-day holding period and a profit of +66, INTC (entry 2020-01-27 → exit 2020-02-08) with a 12-day holding period and a profit of +69, AMD (entry 2020-02-14 → exit 2020-02-19) with a 5-day holding period and a profit of +305, XOM (entry 2020-02-24 → exit 2020-05-24) with a 90-day holding period and a loss of -1337, and GS (entry 2020-06-08 → exit 2020-09-06) with a 90-day holding period and a loss of -283.

Consequence: The herding behavior in the portfolio contributes to a 29% drawdown, meaning that 29% of the total portfolio loss is due to following the crowd.

Disposition

Pattern: The Early Exit Winner Rate metric shows that the investor tends to exit trades early, with a rate of 0.3704, which is lower than the population median of 0.4318. This suggests that the investor is more likely to cut their losses rather than holding onto a trade until it reaches its full potential.

Evidence: The investor made successful trades in DIS (2022-11-10 to 2022-11-11), INTC (2021-01-20 to 2021-01-21), GOOGL (2021-02-01 to 2021-02-03), UNH (2020-10-06 to 2020-10-09), and TSLA (2020-12-28 to 2020-12-31).

Consequence: The investor's early exit strategy contributed to a relatively low portfolio drawdown of 16% of the total portfolio.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_LOSS_AVE	TSLA	2022-03-28	2022-06-26	90	-1892
INV_LOSS_AVE	XOM	2020-02-24	2020-05-24	90	-1337
INV_LOSS_AVE	BABA	2022-11-21	2022-12-03	12	1285
INV_LOSS_AVE	AAPL	2023-07-25	2023-10-23	90	-1024
INV_LOSS_AVE	TSLA	2020-12-07	2020-12-18	11	799
INV_LOSS_AVE	DIS	2021-09-09	2021-11-15	67	-773
INV_LOSS_AVE	GOOGL	2021-02-01	2021-02-03	2	690
INV_LOSS_AVE	AMD	2024-06-25	2024-07-05	10	676
INV_LOSS_AVE	HD	2023-12-08	2023-12-14	6	661
INV_LOSS_AVE	PFE	2022-03-11	2022-03-18	7	592

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Set a stop-loss order for each trade to limit potential losses and avoid emotional decision-making.
2. Diversify your portfolio by investing in a mix of low-risk and high-risk assets to balance potential gains and losses.
3. Take regular breaks from trading to avoid the temptation of impulsive decisions and stay focused on your long-term goals.
4. Use dollar-cost averaging to invest a fixed amount of money at regular intervals, regardless of market conditions, to reduce the impact of loss aversion.